



ETHICS AND ECONOMICS OF INSTITUTIONAL GOVERNANCE

Winter Term 2024/25, 1st Trial

- Please answer **all** questions. Maximum: **60 points**, time to answer the questions: **60 minutes**
- Permitted tools: *non*. In the case of cheating or deception, the exam will be graded as failed.
- Please answer in complete sentences, not bullet points. Indicate the problem number with your answers.

Problem 1: Lecture 4 (literature, 30 points)

Ingo Pies, Philipp Schreck, and Karl Homann (2019) propose a constitutional perspective to address the longstanding debate between the firm's 'single-objective' and 'multi-objective' theories. Please describe their main arguments by responding to the following sub-questions.:

- Please discuss the differences between single-objective and multi-objective theories of the firm. How does each theory define the role and purpose of businesses in society? (7 points)
- Please explain the assumptions of perfect markets in single-objective theories and discuss why proponents of multi-objective theories criticize these assumptions. (7 points)
- Please analyze how the constitutional perspective reconciles single-objective and multi-objective theories of the firm, and describe the two levels of choice introduced by this perspective. (8 points)
- Please, explain the concept of “ordo responsibility” in the context of market failures. How does this responsibility shift the focus of business ethics from individual action to systemic rule-making? What is the overarching benefit of “ordo responsibility”? (8 points)



Problem 2: Social dilemmas (lectures 10-14, 30 points)

Civil society organizations and activists (e.g., Greenpeace, etc.) are frequently calling on companies to provide solutions for environmental and social challenges. Often, individual companies are caught in the crossfire of public criticism, and they are called upon to adopt higher social standards for their employees. Analyze the situation of two competing companies in the global south, each facing the question of whether it should adopt additional costly social measures for its employees on a voluntary basis. Please, apply an ordonomic perspective to answer the following sub-questions:

- a) Please, reconstruct the situation of both companies by drawing an appropriate diagram. Please, explain the strategies of both companies. Please, determine the ordinal payoffs and the initial equilibrium of this social dilemma situation. (10 points)
- b) Please, explain whether the outcome of this game is desirable or undesirable from the players' points of view. (5 points)
- c) Please, explain pareto-optimality. How many pareto-optima can you identify in this game? (5 points)
- d) Regardless of whether the game's outcome is desirable or undesirable from the players' points of view, it is harmful to people. What instruments are suitable for achieving a 'social-friendly' result that is compatible with a competitive market order? Please, describe suitable instruments and draw an appropriate diagram to illustrate a Pareto-superior solution. (5 points)
- e) Please, take a critical stance on the following statement from an ordonomic perspective: So-called "Sweatshops" in the global south are purely exploiting people and thus they should be completely prohibited. (5 points)